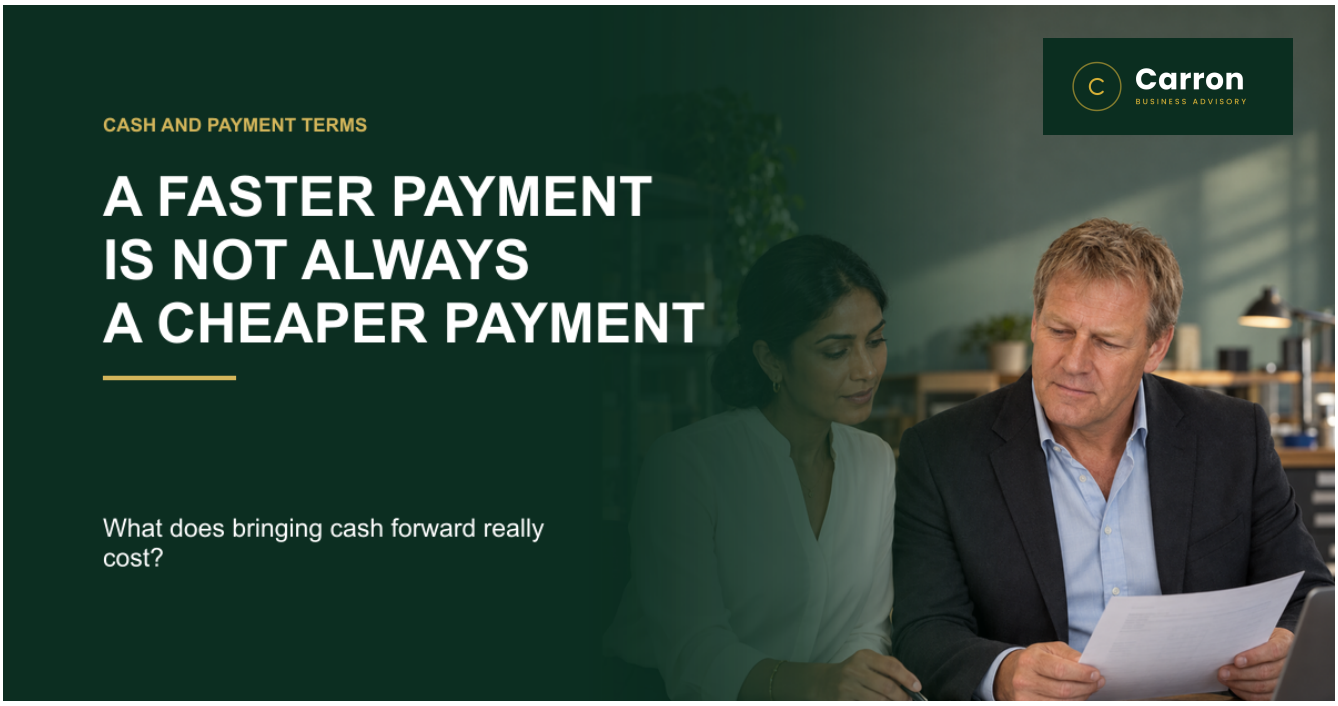


EDUCATIONAL SME BUSINESS REPORT

Executive Summary

A customer offers to pay sooner if you give up two per cent. When the bank balance is tight, the offer can look inexpensive. The useful comparison, however, is between the cash surrendered and the number of days of funding actually gained.

In the worked illustration, giving up R2,000 to receive R98,000 twenty days earlier has a simple annualised equivalent cost of about 37.2%. That is a comparison tool, not a quoted loan APR or a forecast. A one-off decision can still be worthwhile, but it deserves more thought than 'two per cent is small'.

The same calculation works from the other side when a supplier offers you a discount for paying early. In both cases, test timing, available funding, transaction costs and the cash obligations that still have to be met.

DECISION PRINCIPLE

Price the days gained, and protect the cash commitments that remain.

REPORT INDEX

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What does bringing cash forward really cost?

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MAIN ARTICLE

1. Identify the payment you are really comparing

Start with two credible cash dates: when you expect to receive the undiscounted amount and when you will receive the discounted amount. The difference is the days brought forward. Do not use the printed credit period if the customer's actual payment pattern is different.

For a new customer there may be little payment history. For an established one, use recent settled invoices and understand whether this invoice is complete, approved and undisputed. A promise of faster payment is not the same as cash received.

Define whether the offer applies to one invoice, all future invoices or only amounts paid by a specified date. Record a partial payment separately. Confirm the commercial conditions before relying on the forecast, and refer contractual interpretation to an appropriate specialist.

Keep the example simple, but keep the real records correct. This report's figures are illustrative and exclude VAT. An accountant or registered tax practitioner should confirm the actual VAT and accounting treatment of discounts or credit notes. Do not change tax records on the strength of this financial comparison alone.

2. Put the discount on a days-of-funding basis

Suppose an invoice of R100,000 would otherwise be paid on day 30. The customer will pay R98,000 on day 10 if you accept a 2% discount. You give up R2,000 and bring R98,000 forward by twenty days.

For a simple annualised comparison, divide the R2,000 discount by the R98,000 received early, then multiply by 365 divided by twenty. The result is approximately 37.2% a year. This is a simple equivalent rate, with no compounding or allowance for fees, tax or credit risk.

The rate is not a claim that this particular invoice will cost you 37.2% of its value. The actual discount is still R2,000. Annualising helps compare a short transaction with finance costs expressed per year; it does not turn the offer into a regulated loan or quoted APR.

If the payment is only five days earlier, the same simple comparison is about 149.0%. If it is forty days earlier, it is about 18.6%. The concession stays the same while the time benefit changes substantially. Check actual days rather than celebrating the headline percentage.

MAIN ARTICLE

Worked illustration: the section 2 comparison

Days gained	Cash surrendered	Simple annualised cost
5 days	R2,000 on R98,000	149.0%
20 days	R2,000 on R98,000	37.2%
40 days	R2,000 on R98,000	18.6%

Illustration only. Read the calculation with the assumptions in section 2.

3. Compare it with finance that is genuinely available

Suppose, purely for illustration, that the business can fund R98,000 for twenty days at 14% simple annual interest. Interest would be about R752 before any additional fees. That is materially less than the R2,000 customer discount.

The 14% assumption is not a South African market benchmark, prime rate or offer from a bank. Replace it with your actual facility terms, available headroom, day-count convention and incremental charges. Do not compare the discount with a low advertised rate on a facility you cannot draw.

Public bank material describes overdrafts as short-term facilities with personalised terms. Access, fees and repayment conditions must be checked for the specific account. A headline policy rate is not the business's borrowing price.

If no acceptable funding is available and the earlier receipt prevents a costly disruption, accepting a higher implied cost may be rational. Record what problem the receipt solves and whether that problem will return next month. A recurring expensive discount deserves a review of the underlying billing, collections or funding arrangement.

MAIN ARTICLE

4. Reverse the test for a supplier's discount

The supplier offers the same terms: pay R98,000 on day 10 instead of R100,000 on day 30. Paying twenty days early earns a R2,000 discount. Compared with leaving that R98,000 available for twenty days, the simple annualised equivalent benefit is about 37.2%.

That can look attractive against a lower incremental funding cost. But an attractive rate does not prove that the cash is available. Paying early could leave the business unable to meet a non-deferrable obligation or force it into a more expensive facility later.

Run the payment through the dated cash forecast. Include funding availability, extra charges and the minimum headroom management requires. Confirm the invoice, delivery and discount conditions. Do not pay early simply because the bank balance is temporarily high.

A purchase settlement discount also differs from a bulk-buy discount. Buying additional stock to obtain a lower unit price introduces demand, holding and obsolescence risks. Evaluate those separately rather than using the settlement calculation to justify an unwanted purchase.

5. Avoid paying for cash you would have received anyway

A blanket early-payment scheme can reward customers who already pay promptly. The business loses margin without gaining meaningful days. Before offering a standard concession, identify which receipts actually move and which customers simply take the discount on their normal timetable.

Check the receipt against the agreed qualifying date. A customer who deducts the discount but pays late has not delivered the expected exchange. Resolve the difference using the agreed commercial process; this report does not determine a legal entitlement to recover it.

Separate a payment-timing discount from a negotiated price reduction and from a credit note for a disputed item. Otherwise the financial records may hide the true price, the discount cost or the unresolved service issue.

Do not assume earlier payment automatically removes bad-debt risk. An accepted promise can fail; a disputed or reversed transaction may need investigation. Use confirmed receipts and an accountant's advice where the nature of the payment affects recognition or treatment.

MAIN ARTICLE

6. Make the cash decision visible

For each material offer, record the amount given up, cash received or paid, actual dates, alternative finance cost, fees and remaining headroom. Write down the operating benefit that makes the transaction worth considering.

Review the result after the payment clears. How many days were actually gained? Did borrowing reduce? Did a supplier interruption disappear? Did the discount become an expectation on future invoices? These outcomes need evidence rather than a retrospective explanation that 'cash was useful'.

Owner questions: What would the cash date be without the concession? What does each day gained cost? Is the alternative funding available? What obligation could early payment crowd out? Who checks that the customer met the condition? Is this a one-off exception or an expensive recurring habit?

Keep commercial judgement in the decision. The calculation informs it; it does not replace it. If the transaction protects a critical delivery or prevents a larger measurable loss, include that effect, with realistic assumptions and no double counting.

Closing perspective

Cash timing has a price. Sometimes that price is worth paying; sometimes the business is giving away margin for very little benefit. Compare the actual amount, actual days and genuinely available alternative. Then check whether the promised timing happened. A small discount can be expensive funding, and an attractive supplier discount can still be unaffordable today.

Related reading

Your Management Accounts Arrived. Now What?

The 13-Week Cash Flow Forecast Every SME Should Run

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Advice notice

General business and financial education only. Examples are illustrative, not benchmarks. This report does not provide HR, labour-law, legal or personalised tax advice. Obtain appropriate professional advice for contractual, tax, accounting, technical and facility-specific decisions.

PRACTICAL TOOL

Payment Discount Decision Sheet

Use this record before approval. Add actual results and the review decision afterwards.

Decision field	Record before acceptance
Direction and amount	Customer receipt or supplier payment; original amount Record: _____
Discount and cash	Amount surrendered/saved and early cash amount Record: _____
Actual timing	Credible normal date, proposed date, days gained Record: _____
Equivalent rate	Discount / early cash x 365 / days; simple comparison Record: _____
Alternative	Available funding rate, headroom and incremental fees Record: _____
Cash obligations	Payments that remain due and minimum headroom Record: _____
Conditions and evidence	Qualifying date, approval, cleared payment and review Record: _____

Use verified company inputs. This management record does not replace specialist advice or the underlying source records.